Steel Authority of India Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

SAIL is India's big government-owned steel maker, with plants at Bhilai, Bokaro, Rourkela, Durgapur and IISCO (Burnpur), and its own iron ore mines. It sells flat steel, long products such as bars and rods, and rails. Profit swings with steel prices and the cost of imported coking coal, which is about 85% of its coal.

- Market cap about Rs 72,393 cr and P/E about 12: the market prices it like a commodity company.
- Q2 FY27 turnover Rs 31,766 cr, up 20% on last year, on sales volume of 5.2 million tonnes: a big volume quarter for a monsoon season.
- Q2 FY27 EBITDA Rs 4,561 cr and PAT Rs 1,774 cr vs Rs 427 cr PAT a year ago: profit roughly four times last year's, though margin fell from Q1 as coal got dearer.
- H1 FY27 EBITDA Rs 8,917 cr (up 55%) and PAT Rs 3,410 cr (up about 207%): the first half is far better than last year's.
- Borrowings Rs 20,583 cr on 30 Sep 2026, down from Rs 29,811 cr in March 2025; debt to equity 0.34: the balance sheet has been cleaned up a lot.
- H1 EBITDA per tonne about Rs 9,561 vs an aim of Rs 10,000: close, not quite there.

2. Concall coverage

Screener lists 18 SAIL transcripts back to 2022. This report reads the last 12 (Q3 FY24 to Q2 FY27), with the latest call (28 Oct 2026) read in full and the earlier ones read for what was promised and what happened. About three years of calls.

Quarter / call	Date	Transcript read?
Q3 FY24 to Q4 FY25 (6 calls)	Feb 2024 - May 2025	Yes, read for promises
Q1 FY26	Aug 2025	Yes
Q2 FY26	30 Oct 2025	Yes
Q3 FY26	2 Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	28 Jul 2026	Yes
Q2 FY27	28 Oct 2026	Yes, read in full

2b. Latest concall highlights: Q2 FY27 (28 Oct 2026)

- Sales volume 5.2 million tonnes, up 24% on Q1, and inventory cut to about 15 days. Turnover up 20% year on year.
- FY27 sales volume guidance cut to about 21 million tonnes from the 22 million spoken of in May.
- Imported coking coal rose about Rs 1,700 a tonne in Q2 (to about Rs 22,930), against the August call's hope of a fall. Q3 is guided about Rs 1,000 higher again.
- October steel prices are about Rs 4,000 a tonne above the Q2 average. Management expects H2 to be stronger, as Q3 and Q4 usually are.
- Expansion from 20 to 35 million tonnes across IISCO, Bokaro, Bhilai and possibly Rourkela, with about Rs 1,20,000 cr of capex from FY27 to FY31. An FPO (fresh share sale) is planned, timing open. Tasra coking coal mine to start in January 2027.

2c. Business mix & capacity

- Domestic vs export split: not broken out on the call. India was a net importer of steel in H1 FY27.

- Capacity: about 20 million tonnes of crude steel today; FY27 crude steel production guided at about 22 million tonnes and saleable steel sales about 21 million. Rails about 8% and bars and rods about 22% of production volume.
- Iron ore: about 38 million tonnes mined last year, about 48-50 million expected this year, an ambition of 100 million by FY31-32.

3. Earning trigger thesis

The earnings case is a cleaner, cheaper SAIL: debt down by about a third in eighteen months, inventory down, staff falling through retirement (about 48,000 now, 26,000 by 2031), and more iron ore sold outside. Profit has jumped this year, but a lot of that is steel prices. The big structural change, the jump to 35 million tonnes with lower cost per tonne at IISCO, is years away (management says around FY29) and will need heavy spending, debt and a share sale.

Trigger	What management said	Evidence so far	Time horizon	Strength
Debt and inventory cut	Reduce borrowings and keep about two weeks of steel inventory	Borrowings Rs 29,811 cr (Mar 2025) to Rs 20,583 cr (Sep 2026); inventory 15 days	Now	Strong, but debt rises again from next year with capex
Iron ore fines sales	Sell 7-8 million tonnes this year	2.5 million tonnes sold in H1 vs 0.9 million, profit Rs 388 cr	FY27	Moderate: Jharkhand permits a hurdle
Tasra captive coking coal	Production from January 2027	Earlier said December 2026	Q4 FY27	Unproven
Expansion to 35 million tonnes	IISCO first, then Bokaro, Bhilai, Rourkela	IISCO major orders placed; Bokaro in tendering	FY29 onwards	Unproven; long and costly

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Borrowings reduced to Rs 20,583 cr, down Rs 1,146 cr in Q2; debt equity 0.34 (28 Oct 2026)
New business	No	Iron ore sales rising but not a new business
Margin up	No	Q2 EBITDA margin 'suffered' on dearer imported coal (28 Oct 2026)
New management	No	No change announced on the calls read
New capacity	Yes	Tasra coal mine to start production from January 2027; IISCO expansion orders placed (28 Oct 2026)
Big orders	No	Not an order-book business
Turnaround	No	Profit up sharply, but on prices and volumes rather than a stated turnaround
Promoter buying	No	Government is planning an FPO, the opposite

Single concrete driver: Lower debt and inventory plus higher volumes lifted profit this year, while the expansion to 35 million tonnes that should lower costs is still years away.

3c. Margin bridge

EBITDA margin was about 13% in Q2 FY27 against about 9% a year earlier, but down from about 16% in Q1. Volumes and a better price year did the lifting; imported coking coal getting dearer took some back in Q2. Steel prices and coal costs both swing. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY26 call (Feb 2026)	FY26 sales volume about 19.5 million tonnes	About 20 million tonnes sold	Delivered
Q4 FY25 to Q4 FY26	Bring borrowings down	From Rs 29,811 cr to Rs 21,663 cr by Mar 2026, Rs 20,583 cr by Sep 2026	Delivered
Q4 FY26 call (May 2026)	FY27 sales volume about 22 million tonnes	Cut to about 21 million tonnes in Oct	Partly
Q1 FY27 call (Jul 2026)	Coking coal cost to fall Rs 1,000-2,000 in Q2	Rose about Rs 1,700	Missed
Q1 FY27 call	Tasra coal output from December	Now January 2027	Partly (slipped a month)
Q1 FY27 call	Reduce inventory over the year	Down to 15 days by Sep from 17.5 in March	Delivered

The story has been steady for two years: cut debt and inventory, sell more ore, then expand. What drifts is the near-term numbers: volume targets get trimmed and coal cost calls depend on world prices management can't control. The expansion has grown bigger in ambition (35 million tonnes, Rs 1,20,000 cr) while actual spending only now starts.

5. Bottom line

Durable earning trigger? → MAYBE

The debt cut and leaner inventory are real and already in the numbers. But this year's profit jump leans on steel prices, and the expansion that would truly change the cost base is several years and a lot of borrowing away.

Management consistent? → MAYBE

Management hit its FY26 volume target and did cut debt as promised. It also cut this year's volume guidance, missed its own coal-cost call, and Tasra slipped a month. A mixed record, mostly on things outside its control.

6. Checkpoints for next quarter

- Tasra coking coal mine starts production in January 2027
- FY27 sales volume of about 21 million tonnes is held
- Borrowings fall further by March 2027

Sources: Screener.in (SAIL) concall transcripts Feb 2024 to 28 Oct 2026; Screener financial tables. This is not investment advice. Do your own due diligence.